Economics - K-12 Level Assessment 16 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. The real interest rate is
   (a) what one sees when looking at bank literature
   (b) the nominal interest rate divided by the inflation rate
   (c) the nominal interest rate plus the anticipated inflation rate
   (d) the nominal interest rate minus anticipated inflation

2. Recessions
   (a) are a thing of the past.
   (b) are very severe depressions.
   (c) are marked by a sustained decline in output.
   (d) are regular occurrences in capitalist economies.

3. An American firm moves a manufacturing plant from the United States to Brazil. How will this affect gross domestic product (GDP) in the United States and in Brazil?
   (a) U.S. GDP falls and Brazil's GDP falls.
   (b) U.S. GDP rises and Brazil's GDP falls.
   (c) U.S. GDP falls and Brazil's GDP remains constant.
   (d) U.S. GDP falls and Brazil's GDP rises.

4. According to Monetarist theory
   (a) the FED should actively conduct monetary policy.
   (b) changes in the money supply do not have significant effects.
   (c) fiscal policy is the preferred way of shifting the aggregate demand curve.
   (d) the FED should allow the money supply to grow at a constant rate.

5. Which of the following is a consequence of removal of a protective tariff on imported steel?
   (a) Imports fall.
   (b) Income is transferred from steel consumers to domestic steel producers.
   (c) Income is transferred from foreign steel producers to domestic steel producers.
   (d) Allocative efficiency is improved.

True / False (10 marks)

Answer True or False

6. True or False: The velocity of money is the number of times a typical dollar is used to make a purchase in a year.
7. True or False: Higher government funding of research on clean energy supplies can lead to faster rates of economic growth.
8. True or False: M_2 is the least liquid measure of money, including savings accounts and time deposits.
9. True or False: The U.S. dollar has appreciated as the euro's value increased against it.
10. True or False: In the short run, the shut down price is equal to the minimum point on average variable cost.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how government subsidies for firms or their customers can address positive externalities in the production of private goods, leading to a more efficient market outcome.
12. Discuss how government intervention in a polluting steel company can impact market equilibrium, focusing on changes in output and price. What are the implications of these changes?

End of Paper